Sycamore Square — Feasibility Study: Operator View by Business

Oct 18, 2026 ·

Summary

The kids' recreation center is the steadiest business for an operator. At realistic numbers it earns about $335k a year after rent on $2.2M invested, about a 7-year payback. The event halls earn about $320k after rent on $3.4M invested (about 11 years), but swing the most: from a loss to $1.7M a year. Running the fuel station yourself earns only about 3% on $3.8M at realistic volumes, so it should be ground-leased to a fuel operator, not operated.

Business	Revenue (realistic)	Profit after rent (worst / realistic / best)	Operator investment (realistic)	Payback (realistic)	Verdict
Event halls, Hall A and Hall B	$2.47M	−$690k / $320k / $1.72M	$3.41M	10.8 years	Works only with strong bookings or owner operation
Kids' recreation center	$1.58M	−$12k / $335k / $785k	$2.24M	6.7 years	Best risk-adjusted business
Fuel and C-store, owner-operated	$1.74M store sales, 1.2M gallons	−$222k / $118k / $565k	$3.80M	32 years	Ground-lease instead
Retail shop tenant (1,500 SF)	Needs about $250k of sales	Tenant's own business	Tenant's fit-out	n/a	Workable for service retail

Each business pays the landlord study's realistic rent plus its share of taxes, insurance and common-area costs. That keeps the two studies consistent.

If the owner owns the building *and* runs the halls and play center itself, the rent between them cancels out. That combined position earns about $1.53M a year on $23.4M of total capital in the realistic case (6.5%). The worst case is a small loss on $34.5M, and the best case is about 26% on $14.8M.

Event halls (Hall A and Hall B)

The halls break even at about 164 events a year across both rooms. The realistic case books 220 events, about two a week per hall, and earns $320k after rent. That is thin for $3.4M of fit-out. The money is in catering and Saturday rentals; weekday use mostly covers staff.

	Worst	Realistic	Best
Events a year (both halls)	120	220	300
Average hall rental per event	$2,750	$4,750	$6,000
Guests per catered event	250	350	400
Share catered in-house; price per guest	35%, $25	55%, $32	65%, $38
Hall rental income	$330k	$1,045k	$1,800k
Catering income	$262k	$1,355k	$2,964k
Kitchen fees from outside caterers	$39k	$74k	$105k
Revenue	**$0.63M**	**$2.47M**	**$4.87M**
Food cost	$89k	$420k	$830k
Catering labor	$84k	$379k	$741k
Event staff (setup, cleaning, security)	$144k	$220k	$270k
Salaried staff (manager, sales, maintenance)	$360k	$300k	$280k
Utilities	$143k	$131k	$119k
Marketing, repairs, admin, insurance	$124k	$268k	$403k
Profit before rent	**−$0.31M**	**$0.76M**	**$2.23M**
Rent plus NNN to landlord	$381k	$440k	$510k
Profit after rent	**−$0.69M**	**$0.32M**	**$1.72M**
Operator fit-out and working capital	$4.39M	$3.41M	$2.48M
Break-even events a year	461	164	107

The market supports the product:

- **Capacity:** each 11,000 SF room seats about 650–700 at tables, with a dance floor, stage and buffet. Together the halls seat about 1,300–1,450.
- **Saturday pricing:** a 400+ guest hall in Memphis rents for about $6,000–$9,000 on a Saturday. The Columns ballroom is $8,550 and Esplanade packages run $7,200–$20,000.
- **Catering:** Memphis buffets run $18–$22 a guest at the Esplanade and $34–$52 at the Marriott East, plus a 20–24% service charge.
- **Community:** Shelby County counts about 17,050 Muslims in 11 congregations and Davidson County about 13,200. The metro also has about 101,000 Hispanic residents, a large base for quinceañeras.
- **Few large halls:** the largest hall listed in Jackson, Mississippi seats 350.

The weak points are rent and fit-out. Rent plus NNN takes about 18% of realistic revenue, where full-service restaurants run near 6%. Fit-out runs $55/SF for the halls and $225/SF for the kitchens. Three changes improve the case:

1. A lower landlord rent during the first two years.
2. Furniture and kitchen equipment leased rather than bought.
3. Hall B opened only after Hall A books 90 events a year.

Kids' recreation center

The 18,000 SF center breaks even at about $820k of revenue, and the realistic case reaches $1.58M, about $88 per SF. That lines up with franchise trampoline parks: Sky Zone parks under 22,500 SF average about $1.79M. Rent plus NNN takes about 13% of revenue, which an operator can carry.

	Worst	Realistic	Best
Visits a year	about 40,000	about 55,000–68,000	about 88,000
Birthday parties, share of revenue	25%	38%	45%
Revenue incl. private wedding-guest sessions	$1.01M	$1.58M	$2.26M
of which private wedding-guest sessions	$7k	$26k	$60k

	Worst	Realistic	Best
Operating costs (labor 28–36% of revenue)	$0.84M	$1.04M	$1.25M
Profit before rent	**$168k**	**$536k**	**$1,013k**
Rent plus NNN	$180k	$202k	$228k
Profit after rent	**–$12k**	**$335k**	**$785k**
Operator fit-out and working capital ($90–$160/SF)	$2.98M	$2.24M	$1.68M

The opening is real:

- **Competitors are farther out.** The nearest are in Cordova (Urban Air), Hickory Hill (Chuck E. Cheese) and Appling (Main Event). No soft-play center for children under six turned up anywhere in Memphis.
- **Local prices:** Urban Air Cordova charges $24.99 for unlimited play. Its parties start at $149.99 for 5 kids, plus $24.99 per extra guest.
- **A built-in second market:** the private zone reached from Hall A gives wedding guests' children a supervised space. That is a modest extra income, and a selling point for the halls.

The risks are equipment cost, injury liability and novelty fading after year two. An independent operator avoids franchise fees, which have been a source of disputes at some franchise systems. Trampolines only make sense if the clear height allows; soft play, climbing and arcade are the safer core.

Fuel and convenience store

Running the station yourself does not pay at realistic volumes: about $118k a year after ground rent on a $3.8M build. Thirteen stations sit within about 1.4 miles of the I-40 Sycamore View exit, seven of them within half a mile. Murphy USA at 5856 Summer is the local price leader. This site should expect well under the national average of about 150,000 gallons a month.

	Worst	Realistic	Best
Gallons a month	60,000	100,000	140,000

	Worst	Realistic	Best
Fuel margin after card fees (cents a gallon)	24	31	37
Fuel gross profit	$173k	$372k	$622k
Store sales	$1.08M	$1.74M	$2.64M
Store gross profit (30% / 35% / 38%)	$324k	$609k	$1,003k
Store operating costs	$624k	$768k	$900k
Ground rent	$95k	$95k	$160k
Profit after rent	**−$222k**	**$118k**	**$565k**
Station build cost (store, canopy, tanks)	$5.00M	$3.80M	$2.80M

The national 2024 averages give the scale: 150,157 gallons a month at a 43.5-cent gross margin, and $248,201 of store sales a month. The store itself earned almost nothing after its operating costs; fuel margin carries the profit.

The better route is a ground lease. A fuel operator builds and runs the station and pays $80k–$130k a year if regional, or $150k–$200k if a credit brand. That is the income counted in the landlord study, with no station capital from the landlord. Even then, the lease must assign tank, spill and clean-up liability to the operator. Tennessee fuel tax is 27.4 cents a gallon, and the state's tank fee is suspended until mid-2031.

Retail shops and flex, from the tenant's side

A typical 1,500 SF shop needs about $250k a year of sales to carry realistic rent. That is service retail territory, not fashion. The rule of thumb is that rent plus NNN should stay near 10% of a tenant's sales.

	Worst	Realistic	Best
Base rent, NNN, per SF	$11.00	$13.50	$16.00
Taxes, insurance and CAM per SF	$3.99	$3.21	$2.68
Total occupancy cost per SF	$14.99	$16.71	$18.68
Sales needed per SF at 10%	$150	$167	$187

	Worst	Realistic	Best
Sales needed for a 1,500 SF shop	$225k	$251k	$280k

These tenants fit those numbers and the event traffic:

- Bridal, formalwear and tailoring
- Salons, nails and henna
- Bakeries and cafés
- Halal grocery and butcher
- Florists and event rentals
- Pharmacy and medical
- Phone and tax services

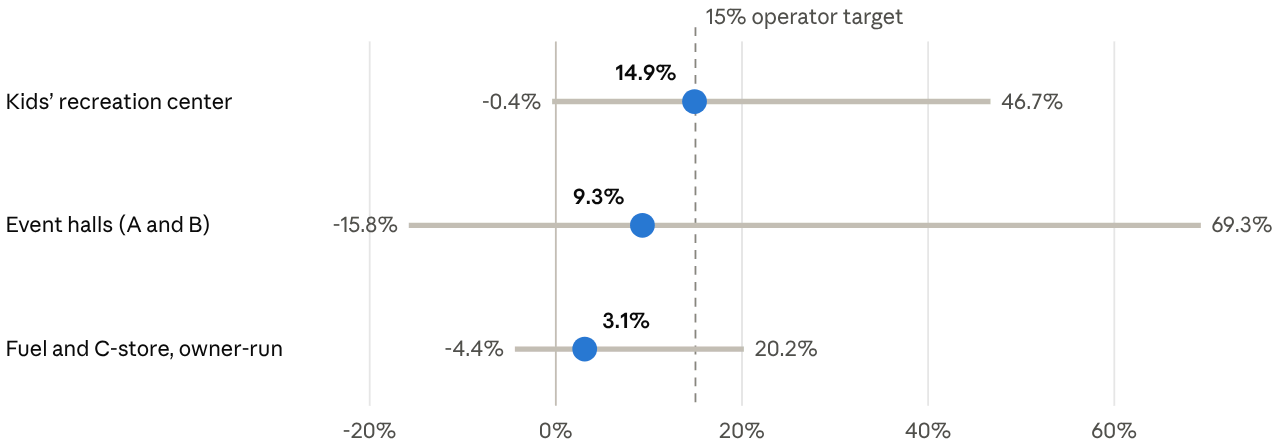
Flex tenants at $6.00–$9.00 NNN are contractors, showrooms, light assembly and storage users. They mostly need clear height, a roll-up door and parking, so they cost little to deliver.

How operator rent ties back to the landlord case

The landlord case assumes the hall operator pays $6.00/SF. At realistic bookings, a third-party operator could pay only about $1.90/SF and still earn 15% on its $3.4M fit-out. The kids' center can carry about $7.90/SF, close to the $8.00 assumed. So the halls only make sense if the owner runs them, or if bookings beat the realistic case.

The kids' center comes closest to a 15% operator return; owner-run fuel earns about 3%

Yearly profit after rent ÷ operator investment, %. Dot = realistic; line runs from worst to best.



Sycamore Square operator models, 18 Oct 2026 · profit after the landlord study's realistic rent

Business (realistic)	Profit before rent	Rent plus NNN paid	Share of profit paid as rent	Base rent that still leaves the operator 15%
Event halls (47,730 SF)	$756k	$440k	58%	about $1.90/SF
Kids' center (18,000 SF)	$536k	$202k	38%	about $7.90/SF

If the hall rent were cut to what an outside operator can pay, landlord income would fall by about $195k a year. Realistic yield on cost would then drop from 4.9% to about 3.8%. Three paths follow from that:

1. Owner **-run halls:** the rent cancels out and the combined position earns about 6.5% on $23.4M in the realistic case. This is the most direct path, and it puts the owner's own operating skill at the center of the investment.
2. **Percentage rent:** an outside operator pays a low base rent plus a share of revenue above a threshold. This shares the upside of the best case.
3. **Phased halls:** fit out Hall A first and add Hall B once Hall A books 90+ events a year. This cuts first-phase operator capital by about $1.5M.

Assumptions and sources

Volumes, prices and cost ratios are planning assumptions built from the sources below, opened on 18 October 2026. They are not operator quotes. Replace them with a signed operator's own projections before committing capital.

- Esplanade Memphis, The Columns at One Commerce Square, Marriott Memphis East and Bartlett Oak Room rates. Memphis venue and catering prices.
- The Knot, average wedding cost. National and Tennessee wedding spend.
- 2020 Religion Census via Stacker, Shelby County and Davidson County. Community size.
- National Restaurant Association, occupancy costs 2024. Occupancy cost as a share of sales.
- Galley, catering menu pricing and BizBuySell catering benchmarks. Food and labor ratios, margins.
- Urban Air Cordova and Urban Air parties. Local play prices.
- Franchise Times, trampoline parks, March 2026. Unit revenue by park size.

- White Hutchinson, FEC project costs. Fit-out cost per SF.
- NACS State of the Industry 2025 and NACS Magazine, June 2026. Fuel and store benchmarks.
- MMCG, gas station construction costs. Station build cost.
- MTAS, Tennessee petroleum taxes and TDEC tank fees. Fuel tax and tank fees.
- iExit, I-40 Exit 12. Fuel competition.